

RMS: Hermès International

The Valuation Absurdity · Single-Digit Growth · Extreme Premium

NTM P/E	LTM P/E	LTM P/BV	Div. Yield
35.23x	37.94x	9.09x	1.3%
Tech-like multiple	Extreme premium	Massive overvaluation	Negligible income
Value Rank	Growth Rank	2026E Rev. YoY	2026E EPS YoY
4/100	23/100	+5.1%	+3.6%
Absolute bottom	Stagnant engine	Bond-like top line	Disappointing bottom line

THE QUANTITATIVE CASE AGAINST HERMÈS

Brand exclusivity does not rewrite the laws of mathematics. Hermès International (RMS) presents one of the most severe valuation disconnects in the European equity market. Scoring an abysmal **Value Rank of 4/100** and a **Growth Rank of 23/100**, our quantitative models flag this asset as a textbook example of market over-exuberance. Investors are currently paying software-like multiples for a company delivering single-digit growth in physical goods.

1 · The Valuation Absurdity — Priced Beyond Perfection

You are effectively buying a luxury retailer at multiples that offer absolutely zero margin of safety.

- **Extreme Multiples:** Trading at an NTM P/E of **35.23x** and an LTM P/E of **37.94x** — a severe fundamental overvaluation for a mature business growing revenues at 5%.
- **Book Value Disconnect:** LTM P/BV of **9.09x** — investors are paying a staggering 800%+ premium over the company's book value with no mathematical justification in the forward growth profile.
- **Poor Capital Return:** A dividend yield of just **1.3%** provides virtually no downside protection while you wait for growth to materialise.

2 · The Illusion of Growth — Stagnating Fundamentals

The market is pricing Hermès for hyper-growth, but the forward estimates reveal a completely different, stagnating reality.

- **Bond-Like Growth Profile:** Consensus estimates for 2026 project a meagre **Revenue growth of +5.1% YoY** and Normalised EPS growth of just **+3.6% YoY** — entirely inconsistent with a 35x earnings multiple.
- **Sluggish EBITDA:** Forward 2-Year EBITDA CAGR of a highly uninspiring **5.6%** — paying over 35 times forward earnings for 5% EBITDA growth structurally destroys portfolio alpha.
- **Cash Flow Contraction:** Cash Flow per Share projected to contract by **(2.8%) YoY** in 2026 — proving that the operational engine is slowing down, not accelerating.

3 · The Momentum Breakdown

The institutional capital distribution phase has already begun.

- **Negative Price Return:** 1-year price return of **(0.6%)** — the market has stopped rewarding the Hermès narrative.

■ **Multiple Compression Risk:** When a stock priced at 35x earnings loses momentum, the subsequent multiple compression can be violent and rapid — with no fundamental cushion from growth or yield to absorb the re-rating.

The Bottom Line

Hermès is an exceptional brand attached to a quantitatively toxic stock. Paying a 35x forward multiple for 5% top-line growth and contracting cash flow per share is a statistical anomaly that our models strictly reject. A Value Rank of 4/100 places it firmly at the absolute bottom of our European universe — the second worst score in our current coverage. Until the valuation forcefully compresses to match its sluggish single-digit growth reality, RMS remains a high-risk premium trap. Stop guessing, start calculating.

IMPORTANT DISCLAIMER — NOT INVESTMENT ADVICE

This document is produced by ForwardAlpha (forwardalpha.pro) for informational and educational purposes only. It does not constitute investment advice, a solicitation, or a recommendation to buy, sell or hold any financial instrument. ForwardAlpha is not a registered investment adviser and does not provide personalised investment recommendations under MiFID II. All data and projections are sourced from third-party providers and are believed to be reliable but are not guaranteed. Past performance is not indicative of future results. Investing involves risk, including the possible loss of principal. Always conduct your own due diligence and consult a qualified financial adviser before making any investment decision. © 2026 ForwardAlpha · andrea@forwardalpha.pro · forwardalpha.pro